Extra exercises of Lecture 15

EX 1
Which is the primary reason why banks make screening of borrowers before giving out a loan?
a) it reduces borrower moral hazard
b) to renegotiate loans before default occurs
c) to learn if borrower is low risk for a given interest rate
d) to learn if borrower is eligible for a loan

EX 2
Why do banks need to engage in liquidity management?
a) bank assets generally have a longer maturity than liabilities
b) bank assets generally have a shorter maturity than liabilities
c) bank assets generally have the same return as liabilities
d) bank assets generally have lower return than liabilities

EX 3
A bank has $400 worth of assets and $360 of liabilities. Its ROA is 1.3%. What is this bank's ROE?
a) 6.7%
b) 19.2%
c) 13.0%
d) 23.0%

EX 4
Why are bank shareholders willing to reduce capital as much as possible?
a) because most banks nowadays manage assets and liabilities together (*ALM*)
b) because capital is long term, while banks typically are financed with short term liabilities
c) because they have a principal-agent problem with bank managers
d) because the more capital they invest, the lower is their return on equity